IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP (CAA)/46 & 47(CHE)/2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*
Between
INFORMATION INTERFACE INDIA PRIVATE LIMITED

...Transferor Company

And

NIYOGIN FINTECH LIMITED

... Transferee Company

CORAM

Justice (Retd.) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

CORRIGENDUM

In exercise of powers under Rule 154 of National Company Law Tribunal Rules, 2016, the Common Order dated 20.07.2022 is rectified as under;

1. **At Page No. 3, Para 3** it shall be read as "**CA/669 & 670/CAA/2020"** instead of "CA/669 & 670/CAA/2021".
2. **At Page No. 3, Para 4, 2nd line from top** it shall be read as "**CA/669/CAA/2020"** instead of "CA/669/CAA/2021".
3. **At Page No. 3, Para 4, 5th line from top** it shall be read as "**CA/670/CAA/2020"** instead of "CA/670/CAA/2021".
4. **At Page No. 19, 3rd para from top** shall be read as "(v)" instead of "(iv)".

5. **At Page No. 19, 4th para from top** shall be read as "(vi)" instead of "(v)".

6. **At Page No. 19, 5th para from top as extracted hereunder** *(vi) Since the Transferor Company is wholly owned subsidiary of the Transferee Company, there shall be no issue of shares as consideration for the amalgamation of the Transferor Company with the Transferee Company.* **shall stand deleted.**

7. **At the Foot Note of the Order it shall be read as "CP(CAA)/46&47/(CHE)/2022"** instead of "CA(CAA)/46&47/(CHE)/2021".

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

JUSTICE (RETD.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

DATED AT CHENNAI ON THIS 27TH DAY OF JULY, 2022

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Between

CP(CAA)/46(CHE)2022 in CA(CAA)/669/2020

INFORMATION INTERFACE INDIA PRIVATE LIMITED
CIN: U72200TN2000PTC132270
A COMPANY INCORPORATED UNDER COMPANIES ACT, 1956
HAVING ITS REGISTERED OFFICE at
M.I.G 944, GROUND FLOOR, TNHB COLONY,
1ST MAIN ROAD, VELACHERY, CHENNAI,
TAMIL NADU-600042

... Petitioner Company / Transferor Company

Along with

CP(CAA)/47(CHE)2022 in CA(CAA)/670/2020

NIYOGIN FINTECH LIMITED
CIN: L65910TN1988PLC131102
A PUBLIC COMPANY INCORPORATED UNDER THE COMPANIES ACT, 1956
HAVING ITS REGISTERED OFFICE AT
M.I.G 944, GROUND FLOOR, TNHB COLONY,
1ST MAIN ROAD, VELACHERY, CHENNAI,
TAMIL NADU-600042

... Petitioner Company / Transferee Company

And

Their Respective Shareholders

Order Pronounced on ***20th July 2022***

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *Madhupreetha Elango, Advocate for D.R.Law Chambers*

For OL : *B. Palani, Authorized Representative*

COMMON ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petitions has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **INFORMATION INTERFACE INDIA PRIVATE LIMITED** *(hereinafter referred to as "Transferor Company")* and **NIYOGIN FINTECH LIMITED***(hereinafter referred to as "Transferee Company")*under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as 'Annexure - A4' to the typed set filed along with the respective Petition.

3. The Registered office address of the Transferor and Transferee Company is situated at Chennai, Tamil Nadu and falls within the jurisdiction of NCLT Chennai Bench. The Transferor and Transferee Company had filed a company application bearing CA/669 & 670/CAA/2021 before the NCLT, Chennai Bench and directions were issued vide order dated 01.12.2021.

4. **1ST MOTION APPLICATION – IN BRIEF**

4.1. The Transferor Company had filed its First Motion Application vide CA/669/CAA/2021 seeking directions for dispensing with the meeting of the Equity Shareholders and Unsecured Creditors of the *Transferor Company*. In respect of the Transferee Company in CA/670/CAA/2021 seeking convening, holding and conducting of the meeting of the Equity Shareholders and Unsecured Creditors of the *Transferee Company.* It was represented that there was no Secured Creditors in respect of the *Transferor Company and Transferee Company* and the same was ordered by this Tribunal dated 01.12.2021.

4.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 01.12.2021, to dispense the meetings of the Equity shareholders and Unsecured Creditors

of the Transferor Company and to convene the meetings of the Equity Shareholders and Unsecured Creditors of the Transferee Company on 15.02.2022 at M.I.G.944, Ground Floor, TNHB Colony, 1st Main Road, Velachery Chennai – 600 042 at 11:00 AM & 02:00 PM respectively Accordingly, the Tribunal has appointed Ms.Sneha Jain, as Chairperson and Ms. Smt.Chitra Srinivas, PCS as Scrutinizer for the said meetings. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 25.02.2022 for sanction of the Scheme of Amalgamation by this Tribunal.

4.3 The Chairman submitted his Report on the above said meetings held on 15.02.2022. From the Chairman's Report, it is observed that the Equity Shareholders and Unsecured Creditors of the Transferee Company had consented in favour of the Scheme. The said Chairman's report with respect to Transferee Company is annexed at separate typed set filed along with the application.

5. **RATIONALE OF THE SCHEME**

5.1. The Rationale and benefits of the Scheme as submitted by the Learned Counsel for the Petitioner Companies would *inter alia* result in the following benefit;

a) The amalgamation will result in the promoter group of the Transferor Company directly holding in the Transferee Company, which will lead not only to simplification of the shareholding structure and reduction of shareholding tiers of the Transferee Company but also demonstrate the direct commitment to and engagement with the Transferee Company

b) The promoter group of the Transferor Company is desirous of streamlining its holding in the Transferee Company and simplifying the shareholding structure while providing transparency to the promoter groups' direct engagement with the Transferee Company.

c) As a step towards such rationalization of the management structure, concentrated management focus it is proposed to merge the Transferor Company into the Transferee Company. In addition to the above, the Scheme is expected to achieve greater efficiency due to consolidation of operations at one place and bring focused attention to

strengthen and sustain the Transferee Company's long-term growth.

d) The promoters would continue to hold the same percentage of shares in the Transferee Company, pre and post the amalgamation. There would also be no change in the financial position of the Transferee Company. All cost, charges and expenses relating to the Scheme would be borne out of the assets (other than shares of the Transferee Company) of the Transferor Company. Any expense, exceeding the assets of the Transferor Company would be borne by the shareholders of the Transferor Company directly.

6. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 20.04.2022directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department,(iv) Official Liquidator (v) Securities Exchange Board of India (vi) Bombay Stock Exchange and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Dina Mani" Tamil (Tamil Nadu Edition).

6.1. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publication as directed by the Tribunal in one issue of "Business Standard" (All India Edition) in English and "Dina Mani" (Tamil Nadu Edition) in Tamil on 28.05.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on20.05.2022 (ii) Registrar of Companies Chennai on 23.05.2022 (iii) Income Tax Department on 18.05.2022 (iv) Official Liquidator on 19.05.2022 and (v) Securities Exchange Board of India on 19.05.2022 (vi) Bombay Stock Exchange on 18.05.2022 (vii) Director General of Corporate Affairs on 21.05.2022 (viii) MCA on 24.05.2022 (ix) RBI on 18.05.2022 and the proof of the same by way of affidavits have been enclosed with the separate typed set filed by the Petitioner companies. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Southern Region, Chennai to whom the notice was issued has filed his Report before this Tribunal on 29.04.2022, wherein in

para 3 of the Report it was stated that as per clause 1.2 of Part A of the Scheme, the Appointed Date is 01.10.2019, which is ante- dated beyond a year and is not in accordance with Section 232(6) of the Companies Act, 2013. Hence it is prayed that the Hon'ble NCLT, Chennai may direct the company to revise the appointed date or may determine the appointed date as it thinks fit.

7.2. It was further submitted in Para 7 of the Report that as per Clause 10 of Part B of the Scheme has stated about protection of employees of the Transferor Company. All staff and employees of the Transferor Company, in service on the Effective Date shall be deemed to have become staff and employees of the Transferee Company, with effect from the Appointed Date or date of joining whichever is later, without any break in their service and other benefits.

7.3. It was further submitted in Para 10 of the Report that Clause 8 of Part B of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share Capital of the Transferor Company shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share: Capital of the Company shall be Rs. 98,05,00,000

divided into 8,90,50,000 equity shares of Rs. 10 each and 90,00,000 Preference Shares of Rs. 10 each. It Is submitted that the Hon'ble NCLT, Chennai may direct the Transferee Company to remit the difference in filing fee and stamp duty, if any and also to file the amended MOA and AOA on the above with the Registrar of Companies.

7.4. It was further observed that as per para 13 of the report wherein it has been stated that as per the Report of the RoC, Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns up to 31.03.2021 and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

7.5. Thus, after examining the Scheme, except the observations as extracted *supra*, the Regional Director in their Report has stated that they have decided not to make any objection to the Scheme.

7.6. The Learned Counsel for the Petitioner Companies had filed an Affidavit for both the Transferor and Transferee Company dated 12.07.2022, wherein it was submitted that in respect of the Appointed Date as raised by the RD in para 3 of the Report, the Learned counsel for the Applicant companies stated that :

a. Section 232(6) of the Companies Act, 2013 merely sets out the requirement that every Scheme of Arrangement must contain an appointed date, which is the date on which the Scheme is said to have come into effect. The said provision does not contain any stipulation/restriction regarding fixing such date or the duration/ time period during which the Appointed Date must be fixed.

b. The Petitioner Company submits that the Appointed Date as contemplated in the Scheme is in compliance with the requirements of circular no F No 7/12/2019/C1-1 dated 21.08.2019 issued by the Ministry of Corporate Affairs As per the aforesaid Circular, where the appointed date is chosen as a specific calendar date, it cannot precede the date of filing of the application for scheme of merger amalgamation in NCLT by more than a year The first motion Le CA No 669 of 2020, was filed by the Petitioner on 30 09 2020, which is the date on which the physical papers were dispatched by SPAD As the nation-wide lockdown and consequent restrictions were force owing to the COVID-19 pandemic, this Hon'ble Tribunal was not accepting physical filing of papers One of the accepted practices for filing Petitions at the relevant time was dispatch by post. Accordingly, the Petitioner submits that the first motion has been duly filed on 30.09.2020

and therefore, filed within a year as contemplated by the MCA Circular.

C. Without prejudice to the foregoing and assuming that the period between the Appointed Date and the date of filing the application is more than 1 year, the Petitioner submits that the slight delay was on account of the ongoing COVID 19 pandemic and the consequent difficulties faced by the Petitioner Company in conducting its affairs including but not limited to lack of availability of adequate staff. Further, the delay, if any, falls within the time period that stands excluded as per the Orders of the Hon'ble Supreme Court in Re Cognizance of Extension of Limitation [Suo Moto Writ (Civil) No 3 of 20201 The Petitioner submits that the Appointed Date of 01.10.2019 as proposed in the present Scheme is not against the public interest. The Petitioner submits that the MCA Circular does not envisage a complete bar on an ante-dated appointed date and merely requires the Petitioner to provide a justification for the same.

7.7 We have perused the objections raised by the RD and also the Reply filed by the Petitioner Companies. The term "Appointed Date" is defined in the Scheme as follows;

"**Appointed Date**" means 1st October 2019 or such other date as may be agreed by the Transferor Company and the Transferee Company and approved by the NCLT or such other competent Authority as may be applicable.

A perusal of the aforesaid definition would show that a discretion has been cast upon this Tribunal to fix an Appointed Date.

Taking into consideration the report of the RD and the reply given by the Petitioner Company, this Tribunal hereby fixes the Appointed Date in respect of the Scheme as 01.04.2022

7.8. Accordingly, the Petitioner Companies on 12thJuly 2022 has submitted an affidavit with this Tribunal with respect to the observation made by RD in para 10 of the Report wherein it was submitted that the undertaking to remit the difference of fees, if any, for the enhance authorised capital pursuant to the said Scheme and to file the amended MoA and AoA with the RoC, Chennai effecting the revision in the Authorized Share Capital of the Resulting Company.

7.9. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')* to whom the notice was issued has filed the Report before this Tribunal on 13.05.2022 and has stated that they have appointed M/s. P.R.Nathan & Associates, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Board of Directors of Transferor Company M/s. Information Interface India Private Limited in their meeting held on 16/12/2019 accorded its approval to the scheme of amalgamation of the Transferor Company with Transferee Company.

- All entries have been made in the Statutory Registers in accordance with the requirements of the Companies Act, 2013 well within the statutory time prescribed under the act and no discrepancies were noted.

- The accounts and records of the Companies have been audited and the Auditor's Reports were not qualificatory in nature for the year ended 31" March, 2021

- The Company has filed various returns with Registrar of Companies and no case was pending against the company or any of its Directors/Officers and no prosecution has been launched under any of the sections of the Companies Act against the Company or any of its Directors. There are no complaints of any nature against the Company or directors.

- The Company has not accepted any deposits from Public, hence provisions of section 73 & 74 of the Companies Act, 2013 not applicable to the Company.

- The Transferor Company has obtained valuation certificate from M/s. M.D. Pamecha & Co., Chartered Accountants, Mumbai to arrive at

the valuation of shares of each of the Transferor and Transferee Companies.

7.10. Further in Para 5 of the OL report it was further submitted that on scrutiny of the books of accounts, records and registers etc. maintained by the Transferor Company, the Chartered Accountants are of the opinion of the that the business of the Transferor Company has not been carried on with intent to defraud the creditors, shareholders or any other person or for any fraudulent purpose attracting the penal provisions of Sections 339 & 340 of the Companies Act, 2013. Neither any person nor any officer or directors of the Companies misapplied or diverted or retained or became liable or accountable for any money or property of the companies or has been found guilty of any misappropriation, breach of trust in relation to the Companies under Sections 339 & 340 of the Companies Act 2013.

7.11. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of ***₹ 50,000/- + GST (Rupees Fifty***

Thousand only Plus GST) to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

7.12. **OTHER STATUTORY AUTHORITIES**

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. the Income Tax Department, does not have any objection to the sanction of the Scheme.

8. VALUATION REPORT

8.1. The Learned Counsel for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from one Bhavesh M Rathod, Registered Valuer dated 16.12.2019, wherein it has been recommended by the Independent Valuer that

- 3,44,35,567 fully paid-up equity shares (Face value of INR 10 each) of NFL to be issued and allotted to shareholders of IPL in proportion of the number of equity shares held by the shareholders of IPL in IIIPL

- We believe that the above ratio is fair and equitable considering that all the shareholders of IIIPL are and will, upon amalgamation remain ultimate beneficial owners of NFL in the same ratio (Inter-se) as they hold shares of NFL through IIIPL prior to the amalgamation and that as mentioned hereinabove the Interest of other shareholders in NFL remains unaffected.

9. ACCOUNTING TREATMENT

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed as 'Annexure – A6' in the typed set filed along with the Petitions.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "A4" with the Company Petition as well as the prayer made therein.

10.2. The Learned Counsel for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will

not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **01.04.2022** as specified in the Scheme.

(iv) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 5 of Part B the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) Since the Transferor Company is a wholly owned subsidiary of the Transferee Company, there shall be no issue of shares as consideration for the amalgamation of the Transferor Company with the Transferee Company.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to all the Transferee Company and the files relating to both the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petitions stands **allowed** on the aforementioned terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

SriramAnanth.V